IN THE SUPREME COURT OF BANGLADESH
HIGH COURT DIVISION
(STATUTORY ORIGINAL JURISDICTION)

COMPANY MATTER NO. 856 OF 2025.

In the Matter Of:

An application under Section 228 read with Section 229 of the Companies Act, 1994.

-And-

In the matter of :

1. Seven Circle (Bangladesh) Limited
.... Transferee-Petitioner.
2. Shun Shing Power Limited
.... Transferor-Petitioner

-Versus-

The Registrar, Joint Stock Companies and Firms. TCB Bhaban, Kawran Bazar, Dhaka
….Respondent.

Mr. Mohammad Ariful Islam, Advocate
……..For the Petitioner.

No one appears.
....….For the Respondents.

Heard and Judgment delivered On: 12.10.2025.

Present:
Md. Toufiq Inam, J:

This is an application filed under Sections 228 and 229 of the Companies Act, 1994 seeking sanction of the Scheme of Amalgamation (Annexure–A) between *Seven Circle (Bangladesh) Limited*, a private limited company being the **Transferee Company**, and *Shun Shing Power Limited*, also a private limited company being the **Transferor Company**.

Background and Incorporation Details

The object of the present petition is to obtain sanction of this Court for the amalgamation of the Petitioner No. 2, *Shun Shing Power Limited* (Transferor Company), with Petitioner No. 1, *Seven Circle (Bangladesh) Limited* (Transferee Company), whereby the entire undertaking of the Transferor Company as a going concern together with all assets and liabilities shall be transferred to and vested in the Transferee Company.

Petitioner No. 1 was incorporated in Bangladesh on 4th March 1999 under the Companies Act, 1994, bearing Incorporation No. C–3288/1999, with an authorized share capital of Tk. 100,00,00,000/- (Taka One Hundred Crore) divided into 1,00,00,000 (One Crore) ordinary shares of Tk. 100/- each, and a paid-up capital of Tk. 39,68,88,800/-. The company is engaged in setting up and operating various industries in accordance with the Government's industrial policy, either independently or in joint venture with foreign entities.The current shareholders and directors of the Transferee Company are set forth in Schedules annexed hereto as Annexures B, B-1, B-2 and B-3 respectively.

Petitioner No. 2 was incorporated on 28th February 2005 under the Companies Act, 1994, as a private limited company and is a sister concern of Petitioner No. 1. It is engaged, *inter alia*, in establishing power plants for generation of electricity, sale of generated power, and related ancillary activities. It has an authorized share capital of Tk. 15,00,00,000/- (fifteen Crore) divided into 15,00,000 ordinary shares of Tk. 100/- each, with a paid-up capital of Tk. 3,03,47,000/-. Its shareholding and directorship details are annexed as Annexures C, C-1, C-2 and C-3.The Registrar of Joint Stock Companies and Firms (RJSC & F) has been made a respondent in this matter.

Common Management and Rationale for Amalgamation

Both the Petitioner Companies have common shareholders and management. The Boards have resolved that amalgamation will result in improved administrative efficiency, optimization of resources, economies of scale and enhanced profitability. The consolidation will enable more sustainable corporate growth through unified management and integrated operations.

The Scheme of Amalgamation (Annexure–A) stipulates that upon coming into effect, the undertaking, assets, and liabilities of the Transferor Company shall be vested in the Transferee Company, and the shareholders of the Transferor Company shall receive shares in the Transferee Company based on their proportionate holdings and the determined Net Asset Value (NAV).

Exchange Ratio and Valuation

The Net Asset Value (NAV) of both companies as of 30 June 2024 has been determined by *Ahmed Mashuque& Co., Chartered Accountants*, as follows:

Particulars	**Transferee**	**Transferor**
Paid-up Capital	Tk. 396,888,800	Tk. 30,347,000
Net Asset Value	Tk. 7,315,510,173	Tk. 1,187,464,854
NAV per Share	Tk. 1,843	Tk. 3,913

Accordingly, 644,311 ordinary shares of Tk. 100 each of the Transferee Company are to be issued to the shareholders of the Transferor Company in exchange for their shareholding. The valuation reports and fair share exchange ratio have been annexed as Annexures D, D-1, and D-2.

Submissions of the Petitioners

Mr. Mohammad Ariful Islam, learned Advocate appearing on behalf of the Petitioners, submitted that the present application has been filed under Sections 228 and 229 of the Companies Act, 1994, seeking the sanction of the Scheme of Amalgamation between Seven Circle (Bangladesh) Limited, the Transferee Company, and Shun Shing

Power Limited, the Transferor Company. He emphasized that the Scheme, as modified and marked Annexure–N, has been duly approved by the respective Boards of Directors and subsequently by the shareholders and creditors through properly convened meetings in strict compliance with the directions of this Hon'ble Court dated 21.05.2025. He further pointed out that all statutory requirements, including notices, publication in national newspapers, and circulation for inspection, have been fully complied with.

Mr. Islam highlighted that the Net Asset Value of both companies has been determined by reputed Chartered Accountants and that the share exchange ratio for allotting 644,311 shares of the Transferee Company to the shareholders of the Transferor Company has been calculated fairly and equitably. He submitted that the Scheme ensures adequate protection of the interests of all employees of the Transferor Company, providing for continuity of employment, preservation of benefits, and absorption into the Transferee Company without any interruption or prejudice.

He further submitted that the proposed amalgamation will result in administrative and operational efficiencies, optimal utilization of resources, economies of scale, and consolidation of human resources, thereby creating a stronger financial base for future growth and enhancing shareholder and creditor value. He also noted that all creditors have provided No Objection Certificates and that no shareholder, creditor, or authority has raised any objection to the Scheme.

Finally, Mr. Islam submitted that the Petitioners are willing to make a voluntary donation of Tk. 200,000/- in the interest of justice and public welfare, demonstrating the bona fide intentions of the Petitioners. In view of these submissions, he prayed that this Hon'ble Court may be pleased to sanction and confirm the Scheme of Amalgamation and issue such directions as may be necessary for its full and effective implementation, including filing a certified copy of this Judgment with the Registrar of Joint Stock Companies and Firms.

Statutory Compliance and Meetings

Pursuant to the Court's order dated 21.05.2025, the Petitioners duly convened meetings of shareholders and creditors after giving statutory notice by registered post and publication in two national dailies on 02.06.2025.The Scheme was kept open for inspection at the registered offices of both companies. The meetings were presided over by the Chairman as directed, and minutes, attendance sheets, and Chairman's reports were duly submitted to the Court within the prescribed period.

The creditors of both Petitioners have furnished “No Objection Certificates” to the proposed amalgamation—three creditors for Petitioner No. 1 (City Bank, Meghna Bank, and Commercial Bank) and four creditors for Petitioner No. 2 (UCB, Sonali Bank, IFIC, and FBC).

The shareholders and creditors unanimously approved the Scheme with minor modifications relating to the addresses of the companies. The final modified Scheme (Annexure–N) has been submitted for the Court’s sanction.

Financial Position and Employee Protection

The latest audited financial statements for the year ended 30 June 2024, prepared by *Toha Khan Zaman & Co., Chartered Accountants*, have been submitted (Annexures E and E-1).

Clause 10 of the Scheme provides adequate safeguards for all employees of the Transferor Company, ensuring continuity of employment without break in service or loss of benefits. All employee benefit funds or trust deeds shall stand transferred or continued under the Transferee Company, thereby fully protecting their rights and entitlements.

Benefits of the Scheme

The proposed amalgamation will—

a) consolidate resources and expertise of both companies,

b) improve operational efficiency and administrative control,

c) reduce overheads and achieve economies of scale,

d) create a stronger financial base for future expansion, and

e) enhance shareholder and creditor value.

The amalgamation will not impose any financial burden on the Transferee Company, which is a highly profitable entity capable of absorbing the Transferor Company's operations.

Findings and Order

Upon hearing the learned Counsel for the Petitioners, and upon perusal of the application, the Scheme of Amalgamation, the auditors' reports, the resolutions, and all annexures thereto, this Court finds thatall statutory procedures prescribed under Sections 228 and 229 of the Companies Act, 1994 have been duly complied with;requisite notices were properly issued and published;the shareholders and creditors have unanimously approved the Scheme; andno objection has been raised by any stakeholder or authority.

Order

Upon hearing the learned Counsel for the Petitioners, perusal of the application, annexures, Scheme of Amalgamation (Annexure–A, as modified and marked Annexure–N), auditors' reports, Board and Shareholders' resolutions, and all documents on record, this Court finds as follows:

1. The Scheme of Amalgamation between Seven Circle (Bangladesh) Limited (Transferee Company) and Shun Shing Power Limited (Transferor Company), as set out in Annexure–N to the petition, is hereby sanctioned and confirmed in accordance with Sections 228 and 229 of the Companies Act, 1994.

2. Upon filing a certified copy of this judgment with the Registrar of Joint Stock Companies and Firms (RJSC & F), all assets, properties, rights, and privileges of Shun Shing Power Limited shall stand transferred to and vested in Seven Circle (Bangladesh) Limited. Likewise, all debts, liabilities, duties, and obligations of Shun Shing Power Limited shall stand transferred to and become the corresponding liabilities and obligations of Seven Circle (Bangladesh) Limited. Shun Shing Power Limited shall thereupon be deemed dissolved without the process of winding up.

3. All suits, cases, and proceedings pending by or against Shun Shing Power Limited shall henceforth be continued and/or proceeded with by or against Seven Circle (Bangladesh) Limited as if originally instituted by or against the Transferee Company.

4. All contracts, deeds, bonds, agreements, tenancies, leases, licenses, permits, quotas, approvals, and other instruments standing in the name of Shun Shing Power Limited shall, by operation of this Order, stand transferred to and vested in Seven Circle (Bangladesh) Limited.

5. All mortgages, charges, securities, undertakings, and other encumbrances of Shun Shing Power Limited shall stand transferred to and vested in Seven Circle (Bangladesh) Limited and shall be enforceable by or against the Transferee Company as if originally executed by or in its favour.

6. The RJSC & F and all relevant regulatory and government authorities, including the National Board of Revenue, Assistant Commissioners (Land), Sub-Registrars, lending institutions, banks, utility service providers, and insurance companies, are directed to give full effect to the Scheme of

Amalgamation without requiring any further act, deed, or petition.

7. All officers, employees, and workers of Shun Shing Power Limited shall be absorbed into Seven Circle (Bangladesh) Limited without any break in service and shall continue to enjoy not less than the same benefits, salaries, status, and allowances as previously held. No employee shall be terminated, retrenched, or prejudiced solely on account of this amalgamation. Existing employee funds, trust deeds, and benefits shall continue or be transferred appropriately.

8. The shareholders of Shun Shing Power Limited shall be issued 644, 311 ordinary shares of Tk. 100 each in Seven Circle (Bangladesh) Limited in exchange for their shareholding as per the Net Asset Value calculation. The Transferee Company shall allot such shares without further act or instrument.

9. The financial statements of both companies shall be consolidated, finalized, and circulated to the respective members with effect from the appointed date mentioned in the Scheme.

10. The Transferee Company shall make a voluntary donation of Tk. 400,000/- (four lac)only, to be disbursed by *Pay Orders* as follows:

    (i) Tk. 200,000/- (Taka Two lac) in favour of **“*Supreme Court Karmakarta-Karmachari Kallyan Trust*”**

    (ii) Tk. 125,000/- (Taka one lac twenty-five thousand) in favour of **“*Dighi Fazlul Ulum Keratul Quran Qaumi Madrsha & Etimkhana*”** Salikha, Magura.

    (iii) Tk. 75,000/- (Taka Seventy-five thousand) in favour of **“*Mir Bari Jame Mosjid*”** Hathazari, Chottogram**.**

11. The above donations shall be made within 30 (thirty) days from the date of this order. Upon submission of satisfactory proof of the said donations, this judgment shall be formally drawn up.

12. All costs in respect of the Scheme of Amalgamation shall be borne by the Transferee Company.

13. The Petitioners shall take all necessary steps under the Companies Act, 1994, and other applicable laws for full and effective implementation of this Judgment and Order. A certified copy of this Judgment and the sanctioned Scheme shall

be filed with the RJSC & F within thirty (30) days for registration.

In view of the above, the application under Sections 228 and 229 of the Companies Act, 1994 is allowed. The Scheme of Amalgamation, (Annexure–A, as modified and marked Annexure–N), is accordingly sanctioned.

Let the records be consigned to file.

(Justice Md. Toufiq Inam)

Ashraf/ABO.